25STCV28092 25STCV28092

County: los-angeles

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TENTATIVE RULING

DEPARTMENT

415

HEARING DATE

June 24, 2026

CASE NUMBER

25STCV28092

MOTION

Demurrer to Cross-Complaint

MOVING PARTY

Plaintiff and

Cross-Defendant YunExpress USA, Inc.

OPPOSING PARTY

Defendant and Cross-Complainant Stock Company, LLC

MOTION

Plaintiff and Cross-Defendant YunExpress USA, Inc. ("Plaintiff") sued Defendant and Cross-Complainant Stock Company, LLC ("Defendant") for breach of contract. Defendant cross-complained against Plaintiff. Plaintiff demurs to the cross-complaint. Defendant opposes the demurrer.

ANALYSIS

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In ruling on a demurrer, the court must "liberally construe[]" the allegations of the complaint. (Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

Plaintiff demurs based on the litigation privilege. As relevant to the issues in the instant case, the litigation privilege applies to a publication made in a judicial proceeding. (Civ. Code, § 47, subd. (b).)

Defendant alleges Plaintiff contacted Defendant's customer, Loop Earplugs, and represented Defendant "does not pay its bills on time, is not creditworthy, and not a business with whom Loop Earplugs should do business" (Cross-Complaint, ¶¶ 12, 19), and this violated a mutual non-disparagement agreement between Plaintiff and Defendant (id., ¶¶ 10, 17).

Defendant does not allege Plaintiff made these representations in judicial proceedings, however. Rather, Defendant alleges the communication was made at some point prior to September 2025, given Defendant was notified by Loop Earplugs of the communication at that time. (See id., ¶ 12.) Plaintiff filed the complaint on September 25, 2025.

The Court acknowledges authority to the effect the litigation privilege may apply to a communication made prior to commencement of a lawsuit but only "when it relates to litigation that is contemplated in good faith and under serious consideration." (Action Apartment Association, Inc. v. City of Santa Monica (2007) 41 Cal.4th 1232, 1251 (Action Apartment); see also Edwards v. Centex Real Estate Corp. (1997) 53 Cal.App.4th 15, 36 [prelitigation privilege does not embrace mere anticipation or bare possibility of litigation].) Moreover, whether a communication relates to litigation which is contemplated in good faith is an issue of fact. (Action Apartment, supra, 41 Cal.4th at p. 1251.)

For purposes of the demurrer, when issues of fact are to be determined, the Court is confined to considering the four corners of Defendant's cross-complaint, and it must liberally construe allegations in that pleading and draw inferences favorable to Defendant as the non-moving party. In this instance, the Court is unable to conclude at this juncture of the litigation the prelitigation communication at the heart of Defendant's cross-complaint would fall under the litigation privilege. A more developed record through discovery conducted down the line may prove otherwise. Accordingly, the Court does not find at this time the litigation privilege is applicable.

First and Second Causes of Action:

Breach of Contract and Breach of Implied Covenant

To allege a cause of action for breach of contract, Defendant must allege Plaintiff was obligated to Defendant pursuant to a contract, Plaintiff breached that contract, and the breach caused damages. (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151.) As set forth above, Defendant alleges Plaintiff violated a non-disparagement agreement. Defendant attaches the purported agreement to the cross-complaint. "If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence.” (Holland v. Morse Diesel Intern., Inc. (2001) 86 Cal.App.4th 1443, 1447.) The agreement does not contain a non-disparagement clause. (Cross-Complaint, Exhibit 1.)

Accordingly, the Court sustains the demurrer to the first cause of action with leave to amend. For the same reason, the Court sustains the demurrer to the second cause of action for breach of the implied covenant of good faith and fair dealing with leave to amend.

Third Cause of Action: Intentional Interference with Contractual Relations

To state a cause of action for intentional interference with contract, Defendant must allege the existence of a valid contract between Defendant and a third party, Plaintiff’s knowledge of the contract, Plaintiff intentionally undertook to disrupt the contractual relationship, and the contractual relationship was actually disrupted to the detriment of Defendant. (Reeves v. Hanlon (2004) 33 Cal.4th 1140, 1148.)

In this regard, Defendant again alleges Plaintiff contacted Loop Earplugs and represented

Defendant “does not pay its bills on time, is not creditworthy, and not a business with whom Loop Earplugs should do business.” (Cross-Complaint, ¶ 43.) Defendant does not allege Defendant had a contractual relationship with Loop Earplugs, which Plaintiff interrupted. Therefore, the Court sustains the demurrer to this cause of action but will provide Defendant with an opportunity to amend it.

Fourth and Fifth Causes of Action:

Intentional Interference with Prospective Economic Advantage and Negligent Interference with Prospective Economic Relations

To state a cause of action for intentional interference with prospective economic advantage, Defendant must allege an economic relationship exists between Defendant and a third party with the probability of future economic benefit to Defendant, Plaintiff’s knowledge of the relationship, Plaintiff’s intentional acts to disrupt the relationship which result in actual disruption of the relationship, and resulting harm to Defendant. (Salma v. Capon (2008) 161 Cal.App.4th 1275, 1290.) In support of this cause of action, Defendant alleges, “Despite knowing of [Defendant’s] economic relationship with [Defendant’s] customer(s), [Plaintiff] engaged in wrongful conduct by contacting [Defendant’s] customer(s) and representing to [Defendant’s] customer(s) that [Defendant] owed money to [Plaintiff] and that [Plaintiff] was holding good[s] which were intended to be delivered to [Defendant's] customer(s) until [Defendant] paid [Plaintiff]." (Cross-Complaint, ¶ 53.)

Defendant does not allege Defendant had existing relationships with third parties, which Plaintiff disrupted. Again, Defendant must amend. For the same reason, the Court sustains the demurrer to the fifth cause of action for negligent interference with prospective economic relations with leave to amend.

Sixth Cause of Action: Violation of Business and Professions Code Section 17200

Defendant must allege a claim under Business and Professions Code section 17200 "with reasonable particularity . . . ." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 619.) Defendant makes vague allegations against Plaintiff, and it does not state with particularity the bases for its sixth cause of action. (See Cross-Complaint, ¶ 70.) Thus, the Court sustains the demurrer regarding this cause of action, and Defendant must amend.

Seventh Cause of Action: False Promise

Defendant must plead fraud with particularity. "This means: (1) general pleading of the legal conclusion of fraud is insufficient; and (2) every element of the cause of action for fraud must be alleged in full, factually and specifically, and the policy of liberal construction of pleading will not usually be invoked to sustain a pleading that is defective in any material respect.” (Wilhelm v. Pray, Price, Williams & Russell (1986) 186 Cal.App.3d 1324, 1331.)

To state a claim for promissory fraud, Defendant must allege specific factual circumstances beyond contract breach, which reflect Plaintiff’s contemporaneous intent not to perform. (Hills Transportation Co. v. Southwest Forest Ind., Inc. (1968) 266 Cal.App.2d 702, 707.) In the instant case, Defendant alleges, “[Plaintiff] made a promise to [Defendant] to release some of the goods in exchange for installment payments pursuant to a payment plan based on the total amount owed by [Defendant] to [Plaintiff].” (Cross-Complaint, ¶ 74.) Defendant does not allege any specific facts to establish Plaintiff’s representations were false when Plaintiff made them. Accordingly, the demurrer is sustained, and Defendant must amend this cause of action.

CONCLUSION AND ORDER

Plaintiff’s demurrer to Defendant’s cross-complaint is sustained with leave to amend.

Defendant is to file an amended cross-complaint within 20 days.

Plaintiff is ordered to provide notice of the Court's ruling and to file proof of service of same.